# Business Adventures

## Twelve Classic Tales from the World of Wall Street

John Brooks · First published 1969



Cover illustration: an editorial-style rendering of the paper-and-telephone Wall Street Brooks wrote about. It is an illustration, not a photograph.

Warren Buffett lent Bill Gates his copy of this book. Gates later called it the best business book he had ever read - more than four decades after it first appeared. The surprise is not the praise. It is that twelve magazine stories about a forgotten car, a photocopier, a grocery chain, and a currency crisis can still read like a field guide to the present.

Brooks was a longtime *New Yorker* staff writer on financial subjects. He did not write rules, frameworks, or advice. He reconstructed events - hour by hour, memo by memo, conversation by conversation - and trusted the reader to see the pattern. This summary follows his method: each tale in turn, told tightly, with the lesson drawn only after the story has earned it.

**How to read this summary.** Allow about twenty minutes. Read the argument and the twelve tales in order; a one-page cheat sheet at the end compresses the whole book.

THE ARGUMENT

## Business fails in human ways first

Nothing in these twelve stories fails for the reason given in the press release. A stock market collapses with no bad news worth the name. A car fails after some of the most careful market research ever done. Executives go to prison for a conspiracy nobody quite ordered. A currency survives because a handful of bankers decide, over a weekend, that it will. Again and again, the spreadsheet is fine and the people are the problem - or, occasionally, the rescue.

Brooks wrote in the 1960s, about events stretching back to the 1920s, in a world of paper ticker tape, fixed commissions, and telephone trading. The technology is unrecognisable now. The behaviour is not. His implicit claim is the one Gates took from the book: the fundamentals of building - and ruining - a business have not changed, because they were never mainly about products or finance, but about mood, communication, incentives, and character.

> *"It will fluctuate." - the answer J. P. Morgan is said to have given when asked what the stock market would do. Brooks opens his first tale with the spirit of that remark, and the whole book is its demonstration.*

THE TWELVE TALES

| | | | |
|---|---|---|---|
| 1 | **The Fluctuation** - the little crash in ’62 | 7 | **The Impacted Philosophers** - non-communication at GE |
| 2 | **The Fate of the Edsel** - a cautionary tale | 8 | **The Last Great Corner** - Piggly Wiggly |
| 3 | **The Federal Income Tax** - its history and peculiarities | 9 | **A Second Sort of Life** - David E. Lilienthal, businessman |
| 4 | **A Reasonable Amount of Time** - insiders at Texas Gulf Sulphur | 10 | **Stockholder Season** - annual meetings and corporate power |
| 5 | **Xerox Xerox Xerox Xerox** | 11 | **One Free Bite** - a man, his knowledge, and his job |
| 6 | **Making the Customers Whole** - the death of a President | 12 | **In Defense of Sterling** - the bankers, the pound, and the dollar |

Three threads run through the set. **Markets** (Tales 1, 6, 8, 12) move on confidence and can be saved, or broken, by whoever protects that confidence. **Companies** (Tales 2, 5, 7) succeed and fail inside their own walls, usually through what people fail to say to one another. **Rules** (Tales 3, 4, 10, 11) shape behaviour only as well as they are written, timed, and enforced - and Tale 9 asks what a business life is for, once the rules are met.

TALE 1 · MARKETS

## The Fluctuation: a crash with no cause

The little crash in ’62

On Monday, May 28, 1962, after six months of drift downward, the New York Stock Exchange suffered one of its worst days since 1929. Blue chips fell in waves. Volume was so heavy that the ticker - the paper tape that reported prices - fell far behind the trading, at points by three-quarters of an hour or more. Investors, unable to see the present, assumed the worst about it, and sold into the fog. By the close, roughly twenty billion dollars of paper value had vanished.

Then, on Tuesday and Wednesday, the market roared back. A buying panic replaced the selling panic, helped by a widely shared conviction that the Dow Jones average simply could not fall below 500 - a belief with no authority behind it except that everyone held it. Within three days the losses were substantially recovered. Someone who slept through the whole episode would have noticed almost nothing.

Afterwards came the inquests. Committees searched for the economic cause of a collapse that had no proportionate trigger, and found mostly the weather inside investors’ heads: anxiety and imitation. A market is a machine for turning other people’s expected behaviour into prices, so expectation itself becomes the event - and delay the information, as a late tape does, and the machine feeds on its own output.

> LESSON
> Prices can move violently on mood and delayed information alone. The investor’s edge is rarely a better forecast; it is the temperament not to join either panic.

TALE 2 · COMPANIES

## The Fate of the Edsel: research is not a time machine

A cautionary tale

In the mid-1950s Ford identified a genuine gap: prosperous buyers were trading up from low-priced cars, and Ford had nothing to sell them between a Ford and a Lincoln. The answer, developed at enormous expense, was an entirely new division and a new car - the Edsel, launched with huge ceremony on "E-Day" in September 1957.

Almost everything that could be right on paper was right: the research extensive, the engineering serious, the advertising saturation-level. What Ford could not research was the future. By launch, the economy was sliding into the sharp 1957-58 recession, buyers were turning toward smaller, cheaper, more economical cars, and the medium-priced segment the Edsel was designed for was shrinking beneath it. The car itself arrived with styling that invited ridicule, early quality problems, and a name that became a national joke. Ford withdrew the Edsel in November 1959, having lost a sum commonly put in the hundreds of millions of dollars.

Brooks resists the easy moral that Ford was stupid. His executives were able, diligent, and data-rich. They failed because a decision perfectly fitted to 1955 was executed into 1958, and because an organisation that has committed itself publicly and financially loses the ability to hear that the world has changed.

> LESSON
> Research describes the market that existed when it was gathered. The larger the launch, the more it locks you into yesterday’s answer - and the harder it becomes to admit the question has changed.

TALE 3 · RULES

## The Federal Income Tax: complexity is a policy too

Its history and peculiarities

The federal income tax began in 1913 as something close to a model tax: short, legible, and paid by a small fraction of citizens at modest rates. Two world wars turned it into a mass tax, and peace turned it into something else again: a vast negotiated settlement between the Treasury and every organised interest in America.

Each exception was defensible in isolation, but exceptions compound. By the time Brooks wrote, the code rewarded the hiring of clever advisers, punished those who could not afford them, taxed similar incomes wildly differently, and consumed enormous effort in avoidance that produced nothing. Practitioners he quotes are candid that the system's real rules are its loopholes, and several experts argue, in effect, for starting over - nearer the simplicity of 1913.

The essay's enduring insight is that complexity is never neutral. Every line added to a rulebook transfers power to those who can afford to read it closely, and transfers cost to everyone else. A rule that cannot be understood cannot be consented to in any meaningful sense, and a system widely seen as a game invites everyone to play it as one.

> LESSON
> Judge any system - a tax code, a compliance manual, a pricing policy - not by its intentions but by the behaviour its accumulated exceptions actually reward.

TALE 4 · RULES

## A Reasonable Amount of Time: inventing insider trading law

Insiders at Texas Gulf Sulphur

In late 1963, exploratory drilling near Timmins, Ontario, told Texas Gulf Sulphur something extraordinary: the first core sample pointed to a major deposit of copper, zinc, and silver. The company said nothing publicly while it quietly bought up the surrounding land - a defensible step. What was not defensible is what happened inside: directors, officers, and their tippees bought shares and call options, while the wider public knew nothing.

When rumours reached the market in April 1964, the company issued a press release so pessimistic that it misled: it dwelt on the work still to be done and gave no hint of the promising core. Four days later Texas Gulf announced one of the great ore finds of the century, and the stock soared. The Securities and Exchange Commission (SEC) sued, and the case turned on deceptively mild phrases. Had the information been "material" - the kind a reasonable investor would want to know? And after disclosure, must insiders wait "a reasonable amount of time" for the news to reach the public before trading on it?

The trial court largely sided with the company. In 1968 the Court of Appeals reversed the heart of that judgment: the early results were material, the press release was misleading, and insiders must wait until information is genuinely public. It was a famous victory for the SEC, and it wrote the modern grammar of disclosure that still governs earnings releases, lock-ups, and trading windows today.

> LESSON
> "Everyone would do it" is not a defence. If you hold information the market would pay for, the ethical line and, after this case, the legal line is the same: disclose first, wait, then trade - if at all.

TALE 5 · COMPANIES

## Xerox Xerox Xerox Xerox: the burden of a miracle

Growth, and what growth does to a company

The Haloid Company of Rochester was a modest photographic-paper maker when it bet itself on an inventor’s unloved process: Chester Carlson’s xerography, which bigger companies had examined and declined. Renamed for its process, the company launched the Xerox 914 in 1959 - the first successful plain-paper office copier, leased rather than sold, and priced by the copy. Offices did not merely adopt it; they reorganised around it. Revenue and earnings climbed at rates almost without precedent for a company of its size, and the stock made its holders rich.

Brooks is interested less in the ascent than in its side effects. Success arrived faster than management could mature. Xerox found itself wealthy, celebrated, and expected to behave like a national institution: it spent conspicuously on good works, including a multi-million-dollar commitment in support of the United Nations when that was deeply controversial. Meanwhile the growth that funded the generosity consumed executive attention, even as competitors circled the market Xerox had created.

Read today, the tale is the prototype of every technology rocket ship since: a single miraculous product, a business model (leasing, metering) as innovative as the device, and then the unglamorous second act - hiring, controls, citizenship, succession - for which the miracle provides money but no instructions.

> LESSON
> Winning the product is only the first test. Hypergrowth is a management problem disguised as a triumph, and it starts billing you immediately.

TALE 6 · MARKETS

## Making the Customers Whole: the weekend Wall Street saved itself

The death of a President

In November 1963, Ira Haupt & Co., a respectable New York Stock Exchange member firm, was destroyed by salad oil. Its client Anthony "Tino" De Angelis, of the Allied Crude Vegetable Oil Refining Corporation, had borrowed vast sums against tanks of vegetable oil that turned out to be mostly water, with a skin of oil on top for the inspectors. When the swindle collapsed, Haupt’s loans were unpayable and the firm faced failure - which meant its thousands of ordinary customers faced losing the cash and securities in their accounts.

Then, on November 22, President Kennedy was assassinated, markets closed in chaos, and the crisis had to be solved over a weekend of national grief. The Exchange’s leadership made an unprecedented decision: the member firms collectively would put up the money - ultimately well over ten million dollars - to make Haupt’s customers whole, negotiating with American and British creditor banks to stand back while customers were paid. It was not charity. The governors understood that if small investors could lose everything because a firm they trusted had been defrauded, trust in the entire market would go with it.

Brooks treats the episode as Wall Street’s finest hour in the book: an industry policing itself, at real cost, because it grasped that confidence is its true capital.

> LESSON
> In a confidence business, protecting the customer who was not your customer can be the most rational act available. Trust is shared infrastructure; whoever lets it fail, pays.

TALE 7 · COMPANIES

## The Impacted Philosophers: a conspiracy nobody ordered

Non-communication at General Electric

In the late 1950s, executives of General Electric, Westinghouse, and other electrical manufacturers ran a price-fixing and bid-rigging conspiracy on heavy equipment - turbines, switchgear, transformers - sold to utilities and public authorities. When it broke, dozens of executives were fined and seven went to jail, in a landmark antitrust prosecution. The enduring puzzle is the one Brooks circles: how did a company with explicit written rules against exactly this conduct produce it at scale?

GE's official policy forbade discussing prices with competitors. Its chairman, Ralph Cordiner, preached that policy sincerely, while division managers under him were pressed hard for results and judged by them. Between the sermon and the pressure grew what Brooks calls non-communication. Orders against collusion were stated so generally, and expectations of performance so vividly, that managers learned to read what was wanted from silences, nods, and winks - and, crucially, not to ask questions whose answers would have to be written down. After the indictments, senior men philosophised about responsibility in the abstract; the managers who had done the deeds discovered that the ambiguity that had instructed them also insulated everyone above them.

Brooks' title is the verdict: a row of "impacted philosophers," thoughtful men packed tightly together, each explaining that the system, not any person, had failed - which was true, and was also the problem.

> LESSON
> Culture is what your incentives say when your values statement leaves the room. If people must guess what leadership wants, leadership has chosen - and will own the guess.

TALE 8 · MARKETS

## The Last Great Corner: the man who beat the shorts and lost

A company called Piggly Wiggly

Clarence Saunders invented the self-service supermarket. His Piggly Wiggly stores, patented in 1917, gave shoppers baskets, open shelves, and marked prices - the template of every grocery since. In 1922 the shares came to New York, and when a couple of franchised stores failed, Wall Street professionals mounted a bear raid: they sold Piggly Wiggly short in size, spreading the word that the whole chain was shaky, expecting to buy back cheaply.

Saunders decided to punish them personally. Borrowing heavily, he bought - and announced that he would buy - essentially the entire float. By his own account he controlled some 98 percent of the shares. The price climbed from around 39 dollars to 124, and the shorts were trapped: the only seller left was Saunders, at his price. Then the Stock Exchange intervened, suspending trading and giving the shorts extra time to deliver shares - time in which Saunders' leveraged position collapsed under its own costs. He was ruined, lost Piggly Wiggly, and was bankrupted.

It is the book's most purely enjoyable story and its most pointed: Saunders won the market contest outright, and discovered that the referee could change the rules at the moment of victory.

> LESSON
> Never build a leveraged position whose survival depends on the rules staying unchanged. And never let a fight for vindication become indistinguishable from the business itself.

TALE 9 · CHARACTER

## A Second Sort of Life: the bureaucrat who went into business honestly

David E. Lilienthal, businessman

David Lilienthal was a hero of the New Deal: chairman of the Tennessee Valley Authority from 1941, and then, in 1947, first chairman of the Atomic Energy Commission. In 1950 he resigned - and did the thing his admirers considered a betrayal. He went into business, openly saying that after years of public salaries he wanted to earn money for his family and his old age.

What redeems the move, in Brooks' telling, is that Lilienthal made no pretence about it and built nothing cynical. He took over the ailing Minerals and Chemicals Corporation and helped revive it. Then, in 1955, with Gordon Clapp, he founded the Development and Resources Corporation: a private, profit-seeking firm that sold TVA-style regional development to the world - planning the reclamation of Iran's Khuzistan province, advising Colombia on a Cauca Valley authority, and consulting from Italy to Ghana. Critics from his old world called him a sell-out; he persisted in holding both loyalties at once.

Among twelve tales dominated by grasping, panic, and self-deception, Brooks places this one deliberately: a proof, offered without sentimentality, that the profit motive and a public purpose can inhabit the same career - at the price of being fully trusted by neither tribe.

> LESSON
>
> Say your motive out loud. Candour about wanting to earn money cost Lilienthal some reputation; concealing it would have cost him the second career's whole meaning.

TALE 10 · RULES

## Stockholder Season: democracy, staged annually

Annual meetings and corporate power

Each spring, Brooks follows the ritual of the annual stockholders' meeting - in theory, the sovereign assembly of the corporation's owners; in practice, a production staged by management, with the proxies already counted and the outcome known before the gavel falls. The drama comes from the dissenters: professional gadflies and small shareholders who attend meeting after meeting, demanding answers on executive pay, board composition, and corporate conduct, to the visible irritation of chairmen who must endure them on the record.

Brooks is amused by both sides. Management's choreography can be shameless - questions ruled out of order, microphones managed, applause arranged. Yet he will not call the ritual worthless. The meeting forces executives to stand, once a year, in a room where any owner may speak, and creates a public record that journalists, regulators, and litigants can use.

The tale reads now as an early field report on a question still unresolved: dispersed owners cannot really govern a giant company, yet every alternative to their nominal sovereignty is worse. The meeting is the compromise - part accountability, part theatre.

> LESSON
>
> Rituals of accountability look hollow until they are abolished. Judge a governance ritual not by its usual tedium but by what it makes possible on the one day it matters.

TALE 11 · RULES

## One Free Bite: whose knowledge is it, anyway?

A man, his knowledge, and his job

Donald W. Wohlgemuth was, in the fall of 1962, a 31-year-old chemical engineer earning $10,644 a year managing space-suit engineering at the B. F. Goodrich Company in Akron, Ohio. Then a rival, the International Latex Corporation, which had won the contract for the Apollo moon suits, offered him substantially more money to do substantially the same work. He accepted - and Goodrich went to court.

Goodrich did not claim he had carried away documents. Its claim was more unsettling: that what he knew - the accumulated designs, failures, and tricks of space-suit construction lodged in his memory - was Goodrich's trade secret, and that he could not work for Latex without inevitably using it. Wohlgemuth's answer was the employee's eternal one: a man owns his own skill; he had taken nothing but himself. Brooks takes his title from the old common-law rule that a dog is allowed one free bite before its owner is liable for it. Should a departing employee, the tale asks, be restrained only after he has actually misused a secret - or may a court muzzle him in advance, on the certainty that he will?

The court sided, in substance, with Goodrich, restraining Wohlgemuth for a time from the very work Latex had hired him for. Brooks leaves the equities tangled: the company had paid to create the knowledge, the man with years of modest salary. Every modern fight over non-competes and "inevitable disclosure" is this case, re-argued.

> LESSON
> Draw the line before the resignation, not after: contracts, and honest conversations, about what knowledge travels with a person and what stays with the firm.

TALE 12 · MARKETS

## In Defense of Sterling: a currency held up by telephone calls

The bankers, the pound, and the dollar

Brooks closes with a thriller in which nothing explodes and everything is at stake. In the autumn of 1964, a new Labour government in Britain inherited a large payments deficit, and the world's holders of sterling began quietly to doubt that the pound could hold its Bretton Woods parity of $2.80. Under that system, doubt itself was the danger: if enough holders sold, the Bank's reserves would drain, devaluation would follow, and every other fixed currency - above all the dollar - would come under suspicion.

The defense, mounted in November 1964, was a feat of central-bank cooperation organised at telephone speed. The Federal Reserve, European central banks, and others assembled a credit package of some three billion dollars so that the Bank of England could buy its own currency faster than the sellers could dump it; the British raised interest rates sharply in support. It worked - that time. Sterling held its parity and the system survived. Brooks lets the reader feel both the heroism and the futility - the pound was devalued in 1967, after his essay: confidence can be borrowed, in size, overnight, but only against the day the underlying accounts are put right.

> LESSON
> Confidence operations buy time, not absolution. A rescue - of a currency, a bank, or a company - succeeds only if the borrowed time is spent fixing the thing that made rescue necessary.

SYNTHESIS

## Five patterns repeat across all twelve tales

**1. Mood moves first; explanations follow.** The 1962 crash, the buying panic that ended it, the bear raid on Piggly Wiggly, and the run on sterling all begin as shifts in collective feeling. In each case the official post-mortem dresses the feeling as a cause. Brooks teaches a permanent scepticism: when an explanation of a market event sounds too rational, it was probably written afterwards.

**2. What is not said does the damage.** GE's price-fixing grew in a silence between policy and expectation. Texas Gulf's misleading release said true things in a false arrangement. Ford's organisation could not say its market had vanished. Communication failure in Brooks is rarely a missing memo; it is a truth everyone privately knows and the institution cannot afford to utter.

**3. Incentives explain what character cannot.** Insiders bought because the information was there and the rules were unwritten. Managers colluded because results were demanded and methods unexamined. Short sellers raided because raiding paid. Brooks is not a cynic - Lilienthal and the Exchange governors act well inside the same system - but he always asks first what a situation rewarded.

**4. The rules change at the moment of maximum stress.** The Exchange rewrote its obligations to save Haupt's customers, then rewrote them again to stop Saunders. Courts invented modern insider-trading doctrine out of one ore strike. Institutions reveal their real constitution not in their charters but in what they do on the worst weekend of the decade.

**5. Character is the residual variable.** After structure, incentives, and information have explained most of each story, something remains that they cannot: Saunders' pride, Lilienthal's candour, the Haupt governors' solidarity, Wohlgemuth's quiet ambition. Brooks' claim is that this residue is not noise; over a career, it is the signal.

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READING BROOKS AGAINST TODAY

The world of the book is gone: fixed commissions, floor trading, a gold-anchored currency system, and annual meetings as the only shareholder forum. Yet each tale maps onto a live modern counterpart - the flash crash, the over-researched product launch, the viral short squeeze, the emergency central-bank swap line, the non-compete lawsuit, the disclosure scandal. That mapping is the book's method of proof. Brooks never argues that history repeats; he shows one episode so completely that the reader starts recognising its shape everywhere, which is a more durable kind of learning.

His limit is the mirror of his strength. He writes about individuals in rooms, so slow-moving forces - demographics, productivity, the rise of index investing just after his era - stay offstage. Read him for behaviour and institutions, not for macroeconomic forecasting: the sterling tale itself is the warning.

APPLICATION

# What to take into your own work

## If you invest

- **Expect fluctuation without information.** A violent move with no matching news is usually the market talking to itself (Tale 1). Decide your behaviour in panics in advance, in writing, while calm.
- **Price the referee as well as the game.** Exchanges, regulators, and central banks intervene in crises (Tales 6, 8, 12). Positions that only win if no one intervenes are more fragile than they look.
- **Treat insider enthusiasm as data, not signal.** After Texas Gulf, disclosure rules exist because insiders' knowledge is real and one-sided (Tale 4). Legal disclosure is a floor, not a character reference.

## If you manage

- **Audit the gap between stated policy and felt expectation.** GE's disaster lived in that gap (Tale 7). Ask what a new hire would conclude you really want, from what gets praised, promoted, and quietly forgiven.
- **Date-stamp your assumptions.** The Edsel was right - for 1955 (Tale 2). Put the market conditions each major decision depends on in the decision document, and re-test them before launch, not after.
- **Plan the second act of success.** Xerox's miracle created its management crisis (Tale 5). Hiring, controls, and succession are not the reward for growth; they are its price, payable in advance.
- **Settle knowledge ownership early.** Wohlgemuth's case (Tale 11) was expensive because the bargain was never made explicit. Clear agreements protect the departing employee as much as the firm.

## If you simply live in the system

- **Read complexity as a cost imposed on you.** Every unreadable rulebook - tax, terms of service, fee schedule - transfers value to whoever can afford to decode it (Tale 3).
- **Use the rituals.** Annual meetings, consultations, and comment periods look theatrical until the day they are the only public record that exists (Tale 10). Showing up is a real, if modest, power.
- **Notice the Lilienthal option.** A career can be re-founded mid-way, on stated motives, without pretending the first half did not happen (Tale 9).

REFERENCE

## The twelve tales at a glance

| Tale | Setting | Lesson in one line |
|---|---|---|
| **1. The Fluctuation** | New York, 1962 | A crash and recovery on mood alone: expect fluctuation, prepare temperament. |
| **2. The Fate of the Edsel** | Ford, 1957-59 | Superb research, wrong year: timing beats preparation that cannot update. |
| **3. The Federal Income Tax** | United States, 1913 onward | Accumulated exceptions become the real system; complexity is a hidden tax. |
| **4. A Reasonable Amount of Time** | Texas Gulf Sulphur, 1963-68 | Material news belongs to everyone at once: disclose, wait, then trade. |
| **5. Xerox Xerox Xerox Xerox** | Rochester, 1959 onward | A miraculous product is the beginning of management's problems, not the end. |
| **6. Making the Customers Whole** | Ira Haupt & Co., 1963 | An industry that protects strangers' trust in a crisis protects itself. |
| **7. The Impacted Philosophers** | General Electric, 1950s | Unspoken expectations plus hard targets manufacture misconduct. |
| **8. The Last Great Corner** | Piggly Wiggly, 1922-23 | You can beat the shorts and still lose to leverage and a changed rulebook. |
| **9. A Second Sort of Life** | Lilienthal, 1950 onward | Stated motives and a mission carried across sectors make a second career honest. |
| **10. Stockholder Season** | Annual meetings, each spring | Accountability rituals matter most on the rare day they are truly used. |
| **11. One Free Bite** | Goodrich, 1962 onward | Decide in advance what knowledge an employee owns; courts are a costly substitute. |
| **12. In Defense of Sterling** | London, 1964 | Coordinated confidence buys time; only reform keeps what the time was for. |

CLOSING

Brooks ends none of his tales with a moral, and this summary has imposed more of them than he would have allowed himself. So let the last word be his method rather than any single lesson: pick the episode, reconstruct it honestly, watch what the people in it rewarded, feared, and failed to say - and the moral tends to arrive uninvited. That is why a book of magazine pieces from the 1960s, about companies mostly forgotten, is still the one two of the most successful investors alive press on their friends. The firms are gone. The adventures are current events, wearing new tickers.

About the author: John Brooks (1920-1993) was a longtime staff writer at *The New Yorker*, specialising in financial subjects. *Business Adventures* collects twelve of his *New Yorker* pieces and was first published in 1969. This summary is an independent condensation for study; quotations are limited to the widely reported J. P. Morgan remark discussed on page 2, and all other wording is the summariser's.